

EXIT STRATEGY

Determining an exit strategy means examining the circumstances under which we will exit our trade and it can either be a profit or a loss. We will never enter a trade where we do not have an exit strategy worked out.

A common mistake for beginners is to figure out an entry strategy, but leave the exit strategy on gut feeling or circumstances. This makes holding a profitable trade extremely difficult. So, we will always have a pre-defined exit strategy. For instance, we may enter based on candlestick patterns and then exit based on moving averages action. We will fixate on our exit strategy and follow it through, no matter profit or loss. This will reduce the impact of emotions to a great extent in our system. We need to know that emotions are the enemy of profitability in a trading system.



STOP LOSSES

Stop Loss refers to the limit to which we are willing to take maximum losses. Let us understand this better with examples. When we buy a stock at Rs. 100 and fix a stop loss at Rs. 95, we are limiting the losses that we can incur to Rs. 5. In this case, if the stock prices fall to Rs. 95 or lower, it will automatically be sold off irrespective of what our exit strategy says.

Similarly, when we short a stock at Rs. 100, and have a stop loss at Rs. 105, this means if the price goes above Rs.105, our position will be squared off (settled) and our maximum losses will be limited to Rs. 5.0